

**SUBSTITUTE FOR
HOUSE BILL NO. 5807**

A bill to amend 1956 PA 218, entitled
"The insurance code of 1956,"
by amending sections 476a and 476b (MCL 500.476a and 500.476b), as
amended by 2007 PA 187.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 476a. (1) Beginning August 3, 1987, whenever, by a law in
2 force outside of this state or country, a domestic insurer or agent
3 of a domestic insurer is required to make a deposit of securities
4 for the protection of policyholders or otherwise, or to make
5 payment for taxes, fines, penalties, certificates of authority,
6 valuation of policies, or otherwise, or a special burden or other
7 burden is imposed, greater in the aggregate, **after the subtraction**
8 **under subsection (8)**, than is required by the laws of this state



1 for a similar alien or foreign insurer or agent of an alien or
2 foreign insurer, the alien or foreign insurer of that state or
3 country is required, as a condition precedent to its transacting
4 business in this state, to make a like deposit for like purposes
5 with the state treasurer of this state, and to pay to the revenue
6 commissioner for taxes, fines, penalties, certificates of
7 authority, valuation of policies, and otherwise an amount equal in
8 the aggregate to the charges and payments imposed by the laws of
9 the other state or country upon a similar domestic insurer and the
10 agents of a domestic insurer, **reduced by the subtraction under**
11 **subsection (8)**, regardless of whether a domestic insurer or agent
12 of a domestic insurer is actually transacting business in that
13 state or country. For fire department or salvage corps taxes or
14 other local taxes the amount shall be computed by the revenue
15 commissioner by dividing the total of the payments made by domestic
16 insurers in that state or country by the gross premium received by
17 domestic insurers in that state or country less return premiums.
18 The commissioner shall revoke the certificate of authority of an
19 alien or foreign insurer refusing for 30 days to make payment of
20 fees or taxes as required by this chapter. Except as provided in
21 subsections (3) and (4), for purposes of this section, an insurer
22 organized under the laws of a state or country other than these
23 United States shall be considered an insurer of the state in which
24 its general deposit for the benefit of its policyholders is made.

25 (2) The purpose of this section is to promote the interstate
26 business of domestic insurers by deterring other states from
27 enacting discriminatory or excessive taxes.

28 (3) Subsection (4) does not apply to a domestic insurer that
29 is owned or controlled, directly or indirectly, by an alien or



1 foreign insurer who prior to 1998 and with the commissioner's
 2 approval did not keep books, records, and files or true copies
 3 thereof in this state.

4 (4) For purposes of this section, the state treasurer, after
 5 consultation with the commissioner, shall determine that a domestic
 6 insurer is an alien or foreign insurer domiciled in a state or
 7 country determined by the state treasurer if the insurer does not
 8 comply with all of the following:

9 (a) Maintain its principal place of business in this state.

10 (b) Maintain in this state officers and personnel responsible
 11 for and knowledgeable of the company's operation, books, records,
 12 administration, and annual statement.

13 (c) Conduct in this state a substantial portion of its
 14 underwriting, sales, claims, legal, and, if applicable, medical
 15 operations relating to Michigan policyholders and certificate
 16 holders.

17 (d) Comply with section 5256(1)(a) and (2) through (6). The
 18 commissioner shall inform the state treasurer when a domestic
 19 insurer is not in compliance with section 5256(1)(a) or (2) through
 20 (6).

21 (5) Taxes collected ~~pursuant to~~ **under** this section are subject
 22 to ~~section 22d of the former single business tax act, 1975 PA 228,~~
 23 ~~or~~ ~~section 243 of the Michigan business tax act, 2007 PA 36, MCL~~
 24 **208.1243, or section 643 of the income tax act of 1967, 1967 PA**
 25 **281, MCL 206.643.**

26 (6) The state treasurer shall administer the tax prescribed by
 27 this section in the manner provided in 1941 PA 122, MCL 205.1 to
 28 205.31.

29 (7) The requirements of section 28 of 1941 PA 122, MCL 205.28,



1 that prohibit an employee or an authorized representative or former
2 employee or authorized representative or anyone connected with the
3 department of treasury from divulging any facts or information
4 obtained in connection with the administration of taxes, do not
5 apply to disclosure of the tax return prescribed in this act.

6 **(8) For tax years that begin on and after January 1, 2027, in**
7 **calculating the total burdens imposed by a foreign state or country**
8 **on a domestic insurer or agent under subsection (1), including any**
9 **required deposits, payments, or other burdens described in that**
10 **subsection, an alien or foreign insurer may subtract the amount of**
11 **any housing opportunity tax credit awarded under section 22e of the**
12 **state housing development authority act of 1966, 1966 PA 346, MCL**
13 **125.1422e, that the alien or foreign insurer is allowed to claim**
14 **against the tax imposed under this section. To qualify for the**
15 **subtraction under this subsection, the alien or foreign insurer**
16 **must attach a copy of the eligibility statement or allocation**
17 **report to the annual return filed under this act for the same tax**
18 **year for which the subtraction under this section is being claimed.**
19 **An alien or foreign insurer is not eligible to claim a subtraction**
20 **under this section for a tax year unless its name, address, and**
21 **taxpayer identification number and the amount of the credit**
22 **allocated to that insurer is listed on the allocation report for**
23 **that housing opportunity tax credit for that tax year. As used in**
24 **this subsection, "allocation report", "award", "eligibility**
25 **statement", and "housing opportunity tax credit" mean those terms**
26 **as defined under section 22e of the state housing development**
27 **authority act of 1966, 1966 PA 346, MCL 125.1422e.**

28 Sec. 476b. Authorized insurers are subject to the tax as
29 provided in section 476a if applicable or ~~the former single~~



1 ~~business tax act, 1975 PA 228, or~~ the Michigan business tax act,
2 2007 PA 36, MCL 208.1101 to ~~208.1601,~~ **208.1519, or part 2 of the**
3 **income tax act of 1967, 1967 PA 281, MCL 206.601 to 206.699,**
4 whichever is greater.

5 Enacting section 1. This amendatory act does not take effect
6 unless all of the following bills of the 103rd Legislature are
7 enacted into law:

8 (a) House Bill No. 5805.

9 (b) House Bill No. 5806.